

you felt it was a safer way to do the trade.

Yes, because what I am trying to do is find trades that won't lose much money even if I am wrong.

Your reasoning was that if you were wrong, long rates would go up about as much as short rates, so you wouldn't lose much money, but if you were right most of the rate decline would occur in short rates.

Yes, exactly.

So, you are not only looking for the right trade, but also for the best way to express it.

Yes, I think implementation is the key in everything. Implementation is more important than the trade idea behind it. Having a beautiful idea doesn't get you very far if you don't do it the right way. The point is that I tried to do the trade in a way so that my timing didn't have to be perfect.

Were there other trades you did at the time?

There were a lot. We were bearish on corporate credit, so we bought CDS protection. Since credit spreads were very narrow, if we were wrong, we would only lose a little bit of carry, but if we were right, the spreads could widen a lot. It was an asymmetric trade.

Corporate bonds pay a higher interest rate than U.S. Treasury notes to compensate investors for the higher risk. The yield difference is called the credit spread. The lower the individual bond rating, the wider the spread. Overall credit spread levels will widen during times of financial crisis when investors will demand higher interest rate differentials for accepting the greater risk implicit in holding corporate bonds instead of Treasuries. There are several ways to initiate a trade that will profit if credit spreads widen. The most direct trade is shorting the corporate bond. The equivalent trade can also be implemented through derivatives by buying credit default swap (CDS) protection on the bond. A CDS is essentially an insurance policy that pays off if the bond defaults. The buyer of CDS protection, however, does not need to own the underlying bond—that is, the transaction can be made strictly as a speculative trade (one that profits from a deterioration in credit quality). The CDS price is